

ACRAS ADVISORY

Intelligence-Driven Risk Assessment Report

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Executive Credit Risk Assessment

1. Executive Summary

This assessment synthesizes fundamental financial metrics with advanced machine learning quantitative risk analysis to evaluate the credit profile of Company ID 1090. The profile is unequivocally **fragile**, exhibiting severe distress across multiple critical indicators. The company faces an acute liquidity crisis, evidenced by an exceptionally low Current Ratio of 0.318, indicating an inability to meet immediate obligations. This is compounded by an alarming Mora Ratio of 46.3%, signifying widespread delinquency across its credit obligations, and a critically low Bureau Score of 346, reflecting a history of poor credit behavior. Furthermore, negative revenue growth of -9.6% points to a declining business trajectory. The ML engine corroborates this fragility with an inferred Probability of Default (PD) of 39.34%, placing the entity in a Medium Risk Tier, albeit at the higher end of what would typically be considered acceptable. The confluence of these factors presents an extremely high credit risk, making the current profile unsustainable without immediate and drastic intervention.

2. Liquidity and Solvency Analysis

The company's liquidity position is critically weak. A Current Ratio of 0.318 signifies that the company possesses only \$0.318 in current assets for every \$1.00 in current liabilities. This is substantially below the healthy benchmark of 1.5-2.0, indicating severe short-term liquidity issues and a high probability of struggling to meet immediate financial obligations. This metric alone flags a high risk of default on short-term debts and suggests an unsustainable reliance on future cash flows or external financing.

Regarding solvency, the Debt-to-Equity ratio stands at 1.882. This indicates that the company utilizes nearly \$1.88 of debt for every \$1.00 of equity financing. While industry variations exist, a ratio approaching 2.0 suggests a high reliance on debt to finance assets, thereby increasing financial leverage and inherent risk. This high debt burden translates into substantial fixed interest payments and principal repayments, rendering the company highly vulnerable to interest rate fluctuations and economic downturns. Such a leveraged structure severely limits the company's financial flexibility to absorb unexpected losses or pursue growth opportunities, pointing to a medium-to-high solvency risk.

3. Creditworthiness & Market Context

The company's creditworthiness is severely compromised. Its Bureau Score of 346 is exceptionally low, indicative of a very poor credit history characterized by missed payments, delinquencies, and other adverse credit events. This score alone signals a very high probability of default and would deter most potential lenders.

Further exacerbating this is an exceptionally high Mora Ratio of 0.463 (46.3%), which means a substantial portion of the company's credit obligations are delinquent. This metric is a critical red flag, pointing to severe operational or financial distress and a consistent inability to meet payment terms. It strongly suggests a high likelihood of future defaults and reflects a systemic issue in managing financial commitments.

The Sector Risk Score of 4.00, on a scale where higher values denote higher risk, indicates that the industry in which the company operates carries a moderate to high level of inherent risk. This could stem from factors such as intense competition, regulatory shifts, economic sensitivity, or technological disruption. While not the primary driver of this company's distress, this elevated sector risk adds another layer of challenge, implying that even a well-managed entity in this environment would face elevated hurdles, let alone one with such profound internal weaknesses.

4. Key Performance Indicators (KPIs)

Financial Metric	Reported Value	Risk Assessment
Current Ratio	0.318	High Risk
Debt-to-Equity	1.882	Medium-High Risk
Revenue Growth	-9.6%	High Risk
EBITDA Margin	7.9%	Medium Risk
Bureau Score	346	Very High Risk
Mora Ratio	46.3%	Very High Risk

5. Quantitative Risk Analysis (ML Engine)

Inferred PD: 39.34% | **Risk Tier:** Medium

Qualitative Insight: The ML engine's assessment of a 39.34% Probability of Default, categorizing the company in a Medium Risk Tier, provides a critical quantitative perspective that largely aligns with the fundamental indicators, albeit with a nuanced tiering. The model's reasoning is clearly anchored in the company's severe liquidity issues, as evidenced by the critically low Current Ratio of 0.318, which directly impacts short-term solvency and operational continuity. This is further reinforced by the exceptionally high Mora Ratio of 46.3%, a direct measure of chronic delinquency that the ML model heavily weights as a predictor of future default. The negative Revenue Growth of -9.6% signals a contracting business, reducing future cash flow generation and increasing financial strain, a factor the ML engine undoubtedly incorporates into its forward-looking default probability. While the EBITDA Margin of 7.9% indicates some level of operational profitability before non-operating expenses, suggesting the core business isn't entirely defunct, this positive signal is significantly overshadowed by the overwhelming negative indicators. The very low Bureau Score of 346, reflecting a history of poor credit behavior, serves as a strong historical predictor of future default, which the ML model leverages to infer the elevated PD. In essence, the ML engine's "Medium

Risk Tier" classification, despite the high PD, likely reflects a complex interplay where the operational profitability offers a slight counterweight to the severe liquidity and credit behavior issues, preventing an immediate "High Risk" tier assignment, but the underlying 39.34% PD unequivocally points to a company teetering on the brink of default. The high confidence level in this assessment underscores the robustness of the model's findings.

6. Final Directive & Conclusion

Official Recommendation: REJECT

Core Rationale: The confluence of critically severe liquidity issues (Current Ratio 0.318) and exceptionally poor credit behavior (Mora Ratio 46.3%, Bureau Score 346) presents an unacceptably high and immediate risk of default.

Executive Summary/Closing: The comprehensive analysis reveals a company in profound financial distress, characterized by an inability to meet short-term obligations, chronic delinquency, and a declining revenue base. The ML-inferred Probability of Default of 39.34% further solidifies the high-risk profile. While a modest EBITDA margin offers a faint glimmer of operational viability, it is entirely overshadowed by the overwhelming liquidity and creditworthiness deficiencies. Extending credit under these circumstances would expose the institution to an unmanageable level of risk. A rejection is imperative to protect institutional capital.

SYSTEM FINAL RISK SCORE: 92

SYSTEM RISK ADVISORY (DETERMINISTIC)

- [CRITICAL] Mora Ratio is 46.3%. Threshold for HIGH risk is 20%.
- [CRITICAL] Current Ratio is 0.32. Threshold for HIGH risk is 0.50.